Why April's 3.8% Inflation Reads Truer Than November's 2.7%

Student copy (project or hand out)

1 The April 2026 Consumer Price Index put headline inflation at 3.8% year-over-year, the highest reading since May 2023, according to the Bureau of Labor Statistics. Five months earlier the same index had read 2.7%, below what economists expected. Read straight across, that looks like a sudden jump of more than a full percentage point in less than half a year. The straightforward reading is that prices reaccelerated hard in the spring, and there is real heat in the April numbers: energy rose 3.8% on the month and accounted for over 40% of the monthly increase, with gasoline up 28.4% from a year prior on Middle East supply disruption. So the surface story holds up to a point.

2 The trouble is that one of the two endpoints was never a clean measurement. The federal government shut down from October 1 through November 12, 2025, the BLS suspended most CPI operations, and for the first time since January 1921 no monthly CPI report was published at all. The agency could not collect October price data and said it could not go back and collect it later. For that missing reference period it carried September survey figures forward, which meant the index effectively assumed no price change for shelter, including rent and owners' equivalent rent. Shelter is not a minor line. It carries more than 40% of the weight in the core index.

3 Diane Swonk, chief economist, called the implied zero housing inflation in the November report 'a wacky number' and warned it would 'anchor the index going forward.' Other economists told readers to take the figure with 'the entire salt shaker.' The November 2.7% was not a measurement that came in low. It was a measurement that was partly switched off, then averaged in as though the lights had stayed on. September, the last fully collected month before the gap, had run at 3.0%.

4 What happened in April was the correction, not a new shock. The BLS housing survey rotates its panel on a six-month cycle; when the panel that should have been read in October finally came back around in April, it converged, compressing two cycles into one reporting period. Shelter rose 0.6% on the month, with rent and owners' equivalent rent each up 0.5%. Core inflation moved to 2.8% from 2.6%. The March reading had already been 3.3%, driven mostly by energy. So part of the April number is genuine current pressure from fuel, and part is the shelter data catching up to where it had quietly been all along.

5 None of this makes April's prices lower in real terms than the headline says. The point is narrower: the 2.7% understated, the 3.8% does not, and the gap between them is mostly the width of a hole the shutdown punched in the record rather than the distance prices actually traveled. For a reader trying to gauge where inflation sits, the more reliable of the two figures is the later one, built on data the earlier one was missing.

The November print remains in the official series, flagged by the people who compile it, an artifact left in place because the rules do not allow it to be filled back in.

AP-style multiple choice:

1. In the final paragraph, the writer concedes that the April figure does not make prices 'lower in real terms' primarily in order to

- A) establish that energy, not shelter, was the decisive driver of the April increase
- B) shift the argument toward predicting where inflation will move in the months following April
- C) concede that the earlier 2.7% reading was an accurate description of consumer costs after all
- D) preserve the reliability of the later reading while narrowing the claim to one about measurement rather than price levels

2. The writer's phrasing that the November figure 'was a measurement that was partly switched off, then averaged in as though the lights had stayed on' primarily serves to

- A) celebrate the resilience of the statistical system under the strain of a shutdown
- B) accuse the Bureau of Labor Statistics of deliberately concealing the true inflation rate
- C) concede that the carry-forward method was the most accurate option available
- D) render a methodological gap as a concrete failure of recording without resorting to emotive judgment words

Discussion questions:

1. The piece argues that a later measurement can be more trustworthy than an earlier one even when the later number is higher and more alarming. How does the writer use attribution and method (naming the BLS, the shutdown dates, the carry-forward procedure, an economist's quote) to make that counterintuitive claim feel forced by the evidence rather than asserted?

2. The writer concedes real points to the 'surface story' (genuine energy pressure, gasoline up 28.4%) before turning. Identify where the concession ends and the rebuttal begins, and discuss whether the concession is substantial enough that a reader briefly wonders which reading the writer trusts.

Writing prompt (Homework or extended in-class, Q3 argument):

The opener argues that a later, higher inflation reading was more trustworthy than an earlier, lower one because the earlier figure rested on incomplete data. This raises a broader question about official statistics. Write an essay in which you defend, challenge, or qualify the following claim: when an official measurement is known to be distorted, the public is better served by leaving the flawed figure in the record, clearly flagged, than by removing or revising it. Support your argument with reasoning and examples from your reading, observation, or experience.